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March 23, 2018					
FEDERAL	MARITIME	COMMISSION			

FEDERAL MARITIME COMMISSION

DOCKET NO. 18-02

TARIK AFIF CHAOUCH

v.

**DEMETRIOS AIR FREIGHT CO., DEMETRIOS INTERNATIONAL
SHIPPING CO., INC., and TROY CONTAINER LINE LTD**

**INITIAL DECISION APPROVING SETTLEMENT AGREEMENT
and DISMISSING PROCEEDING WITH PREJUDICE¹**

I.

On March 5, 2018, Complainant Tarik Afif Chaouch and Respondents Demetrios Air Freight Co., Demetrios International Shipping Co., Inc., and Troy Container Line Ltd (“Demetrios”) filed a joint motion for approval of settlement agreement and dismissal with prejudice and a memorandum of points and authorities in support of the motion (“settlement motion”). The parties attached a copy of the Settlement Agreement and Mutual Release (“settlement agreement”). The parties jointly move for approval of the settlement and dismissal with prejudice.

II.

On January 18, 2018, a Notice of Filing of Complaint and Assignment was issued indicating that Mr. Chaouch filed a complaint against Demetrios. Mr. Chaouch alleged that Demetrios violated the Shipping Act of 1984 (“Shipping Act”) in connection with two vehicles shipped from the United States to Algiers, Algeria, allegedly shipped without requested separate bills of lading. On March 5, 2018, the parties filed a motion seeking approval of the settlement agreement and dismissal with prejudice.

¹ This Initial Decision will become the decision of the Commission absent review by the Commission. 46 C.F.R. § 502.227.

The parties state that “Complainant and Respondents desire to avoid the costs and delay of any litigation and have agreed to compromise and settle Tarik Afif Chaouch’s claim based upon the terms and conditions set forth in a Settlement Agreement attached hereto.” Motion at 2. The parties assert that “the settlement is fair, adequate and reasonable, particularly given the costs and risks of litigation and the amount of damages claimed. Moreover, as all parties are represented by competent counsel and have entered into this settlement willingly, the settlement is not the product of collusion or coercion.” Motion at 3-4.

III.

Using language borrowed in part from the Administrative Procedure Act,² Rule 75 of the Commission’s Rules of Practice and Procedure gives interested parties an opportunity, *inter alia*, to submit offers of settlement “where time, the nature of the proceeding, and the public interest permit.” 46 C.F.R. § 502.75(b).

The Commission has a strong and consistent policy of “encourag[ing] settlements and engag[ing] in every presumption which favors a finding that they are fair, correct, and valid.” *Inlet Fish Producers, Inc. v. Sea-Land Serv., Inc.*, 29 S.R.R. 975, 978 (ALJ 2002) (quoting *Old Ben Coal Co. v. Sea-Land Serv., Inc.*, 18 S.R.R. 1085, 1091 (ALJ 1978) (*Old Ben Coal*)). See also *Ellenville Handle Works, Inc. v. Far Eastern Shipping Co.*, 20 S.R.R. 761, 762 (ALJ 1981).

The law favors the resolution of controversies and uncertainties through compromise and settlement rather than through litigation, and it is the policy of the law to uphold and enforce such contracts if they are fairly made and are not in contravention of some law or public policy. . . . The courts have considered it their duty to encourage rather than to discourage parties in resorting to compromise as a mode of adjusting conflicting claims. . . . The desire to uphold compromises and settlements is based upon various advantages which they have over litigation. The resolution of controversies by means of compromise and settlement is generally faster and less expensive than litigation; it results in a saving of time for the parties, the lawyers, and the courts, and it is thus advantageous to judicial administration, and, in turn, to government as a whole. Moreover, the use of compromise and settlement is conducive to amicable and peaceful relations between the parties to a controversy.

Old Ben Coal, 18 S.R.R. at 1092, quoting 15A American Jurisprudence, 2d Edition, pp. 777-778 (1976).

“While following these general principles, the Commission does not merely rubber stamp any proffered settlement, no matter how anxious the parties may be to terminate their litigation.”

² “The agency shall give all interested parties opportunity for – (1) the submission and consideration of facts, arguments, offers of settlement, or proposals of adjustment when time, the nature of the proceeding, and the public interest permit.” 5 U.S.C. § 554(c).

Old Ben Coal, 18 S.R.R. at 1092. However, if “a proffered settlement does not appear to violate any law or policy and is free of fraud, duress, undue influence, mistake or other defects which might make it unapprovable despite the strong policy of the law encouraging approval of settlements, the settlement will probably pass muster and receive approval.” *Old Ben Coal*, 18 S.R.R. at 1093. “[I]f it is the considered judgment of the parties that whatever benefits might result from vindication of their positions would be outweighed by the costs of continued litigation and if the settlement otherwise complies with law the Commission authorizes the settlement.” *Delhi Petroleum Pty. Ltd. v. U.S. Atlantic & Gulf/Australia – New Zealand Conf. and Columbus Line, Inc.*, 24 S.R.R. 1129, 1134 (ALJ 1988) (citations omitted).

“Reaching a settlement allows the parties to settle their differences, without an admission of a violation of law by the respondent, when both the complainant and respondent have decided that it would be much cheaper to settle on such terms than to seek to prevail after expensive litigation.” *APM Terminals North America, Inc. v. Port Authority of New York and New Jersey*, 31 S.R.R. 623, 626 (FMC 2009) (citing *Puerto Rico Freight Sys. Inc. v. PR Logistics Corp.*, 30 S.R.R. 310, 311 (ALJ 2004)).

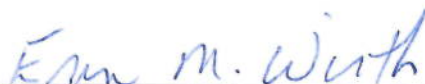
Based on the representations in the settlement motion and other documents filed in this matter, the parties have established that the settlement agreement does not appear to violate any law or policy or contain other defects which might make it unapprovable. The parties are represented by counsel. The parties have determined that the settlement reasonably resolves the issues raised in the complaint without the need for costly and uncertain litigation. There is no evidence of fraud, duress, undue influence, or mistake nor harm to the public. Accordingly, the settlement agreement is approved.

IV.

Upon consideration of the motion, the settlement agreement, and the record, and good cause having been stated, it is hereby:

ORDERED that the motion to approve the settlement agreement between Tarik Afif Chaouch and Demetrios Air Freight Co., Demetrios International Shipping Co., Inc., and Troy Container Line Ltd be **GRANTED**. It is

FURTHER ORDERED that this proceeding be **DISMISSED WITH PREJUDICE**.



Erin M. Wirth
Administrative Law Judge